AGA KHAN UNIVERSITY EXAMINATION BOARD

HIGHER SECONDARY SCHOOL CERTIFICATE

CLASS XII EXAMINATION

APRIL/ MAY 2017

Principles of Accounting Paper II

Time: 2 hours 20 minutes Marks: 70

AKU May Examination 2017

INSTRUCTIONS

Please read the following instructions carefully.

1. Check your name and school information. Sign if it is accurate.

I agree that this is my name and school. **Candidate's signature**

2. RUBRIC. There are THIRTEEN questions. Answer ALL questions. Choices are specified inside the paper.

3. When answering the questions:

   Read each question carefully.
   Use a black pointer to write your answers. DO NOT write your answers in pencil.
   Use a black pencil for diagrams. DO NOT use coloured pencils.
   DO NOT use staples, paper clips, glue, correcting fluid or ink erasers.
   Complete your answer in the allocated space only. DO NOT write outside the answer box.

4. The marks for the questions are shown in brackets ( ).

5. You may use a scientific calculator if you wish.

6. Wherever new terminologies are mentioned their old terminologies are mentioned in the brackets for your assistance.

Q.1. (Total 5 Marks)

Ms Saba and Ms Sumaira are business partners. On March 31, 2017, they discovered that some of the stock was missing from the warehouse. They were able to provide the following information for the year ended March 31, 2017:

Particulars	**Amount (Rs)**
Sales	60,000
Purchases	52,000
Inventory (stock) April 01, 2016	10,000
Inventory (stock) in warehouse March 31, 2017	9,000

The gross profit margin is 20%.

Calculate the value of the inventory (stock) missing from the warehouse on March 31, 2017.

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Q.2. (Total 4 Marks)

Prepare the general journal entries of the following transactions in the books of Mustaqeem Limited.

Transaction 1: Issued 500 debentures of 15% at Rs 110 having par value of Rs 100 each. The debentures will be repayable at par.

Transaction 2: Issued 500 debentures of 15% at Rs 90 having par value of Rs 100 each. The debentures will be repayable at par.

Transaction 3: The debentures issued in transaction 1 are redeem by Mustaqeem Limited Company.

Transaction 4: Issued 500 debentures of 15% at par value of Rs 100 each. The debentures will be repayable at par.

Date	Particulars	P.R.	Debit	Credit

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Q.3. (Total 4 Marks)

Kiran Manufacturing Co. has an authorised capital of Rs 3,000,000 divided into 300,000 shares of Rs 10 each. The company offered 160,000 ordinary shares to public at Rs 12 per share payable in full with application.

The company's banker informed that applications for 180,000 shares have been received. The directors allotted 160,000 shares and directed the bank to return the excess amount.

The company also issued 5,000 shares at par to the promoters in recognition of their services.

Prepare extract of Statement of financial position (Balance sheet) for Kiran Manufacturing Co. after all the given transactions.

Extract of Statement of Financial Position (Balance Sheet)			
Assets		**Equity**	
	Amount (Rs)		**Amount (Rs)**

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Q.4. (Total 3 Marks)

The following data has been extracted from the books of Zehra Limited as on December 31, 2016.

Authorised Capital:	**Rs**
500,000 ordinary shares of Rs 10 each	5,000,000
Issued and Paid up Capital:	
350,000 ordinary shares of Rs 10 each	3,500,000
Share premium	800,000
Retained earnings (December 31, 2015)	450,000

On December 31, 2016, the income summary of the company showed net income of Rs 250,000.

On this date, the company decided to:

a. declare cash dividend of 10%, which is still unpaid.

b. appropriate Rs 100,000 for contingencies.

Prepare necessary general journal entries to record profit and to appropriate the amount of net profit.

Date	Particulars	P.R.	Debit	Credit

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Q.5. (Total 3 Marks)

Differentiate between provision and reserve.

Provision	Reserve
1.	1.
2.	2.
3.	3.

Q.6. (Total 6 Marks)

Bashir Limited has a motor vehicle; the company uses the sum of the year digit method for calculating depreciation of motor vehicle. The motor vehicle was purchased on July 01, 2014 at a cost of Rs 150,000.

The expected life of the motor vehicle is 5 years and the book value of the motor vehicle on December 31, 2014 was Rs 125,000.

Compute the depreciation for motor vehicle for the year ended December 31, 2015 and 2016.

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Q.7. (Total 5 Marks)

Explain the difference between fixed and fluctuating method of capital account with reference to the concept and general entries for the distribution of profit of each.

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Q.8. (Total 5 Marks)

a. Define ‘Partnership deed’. (1 Mark)

b. Describe any FOUR features of Partnership deed. (4 Marks)

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Q.9. (Total 5 Marks)

Mr Moiz, Mr Akber and Mr Tabassum were equal partners in a firm named MAT Traders. Their capital was Rs 180,000, Rs 120,000 and Rs 60,000 respectively. The firm's Statement of financial position (Balance sheet) before Mr Akber's retirement was as under:

Assets		**Equity**	
Building (book value)	145,000	Trade Payables (accounts payable)	40,000
Machine (book value)	120,000	Capital-Moiz	180,000
Trade receivables (accounts receivable)	80,000	Capital-Akber	120,000
Cash	55,000	Capital-Tabassum	60,000
	400,000		**400,000**

Give the entries in general journal to show the retirement of Mr Akber under each of the following cases separately:

i. Mr Akber sells his entire share privately to Mr Tabassum and receives Rs 170,000 in cash.

ii. Mr Akber sells ½ of his interest to Mr Moiz for Rs 80,000 and the other ½ to Mr Tabassum for Rs 90,000.

iii. Mr Akber transfers his share to his son Mr Asif, with the consent of all the other partners.

iv. Mr Akber is paid Rs 30,000 cash from the firm's resources and is issued a 6 month's note for the balance.

v. Mr Akber is paid Rs 40,000 in cash and also takes the machine costing Rs 80,000.

S. No.	**Particulars**	**P.R.**	**Debit**	**Credit**

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S. No.	Particulars	P.R.	Debit	Credit

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Q.10. (Total 5 Marks)

The bookkeeper of Afridi Cricket Club provided the following balances of subscription account to the accountant on April 01, 2016.

Subscriptions paid in advanced by members	Rs 2,500
Subscriptions due from members	Rs 1,000

The receipt and payment account of the club showed the subscription received as Rs 13,750. The bookkeeper also provided the following balances on March 31, 2017.

Subscription due from members	Rs 200

Prepare the subscription account as it would appear in the ledgers of Afridi Cricket Club for the year ended March 31, 2017.

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Q.11. (Total 5 Marks)

Orient Paper and Board Mills Limited is providing the following details about its cash inflows and cash outflows during the first year of trading.

Particulars	Amount (Rs)
Net income for the year 2016	12,950
Depreciation charged during the year	2,000
Purchase of property and equipment	101,000
Cash received by issue of shares	99,500
Payment of long term loan	10,000
Net increase in current assets	41,100
Net increase in current liabilities	50,450

Prepare Statement of cash flows (Cash flow statement) for Orient Paper and Board Mills Limited using the indirect method and show the ending cash balance as on December 31, 2016.

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Q.12. (Total 10 Marks)

EITHER

a. Marium is a sole trader who does not maintain proper books of account. She provided the following details about her business on December 31, 2016.

	Balance at Dec 31, 2015 Rs	Balance at Dec 31, 2016 Rs
Trade payables (accounts payables)	65,000	35,000
Trade receivables (accounts receivables)	43,000	23,600
Inventory (cost price)	11,500	14,400

During the year ended December 31, 2016, the following transactions took place:

Particulars	Amount(Rs)
Cash paid to suppliers	45,000
Cash received from customers	58,000
Cash discount received	1,000
Cash discount allowed	1,200
Bad debts written off	1,100
Goods returned to credit suppliers	2,200
Goods returned by credit customers	3,300
Customer's cheque dishonoured	500

i. Calculate the amount of net credit purchases for the year ended December 31, 2016. (4 Marks)

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ii. Calculate the amount of net credit sales for the year ended December 31, 2016. (6 Marks)

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OR

b. Mr Shahid is a small trader and he does not maintain proper books of account. His financial year ends on June 30 each year. The following information has been taken from his books on June 30, 2015:

Particulars	**Amount (Rs)**
Trade payables (accounts payable)	16,200
Trade receivables (accounts receivable)	15,600
Accrued Expenses	8,160
Inventory (Stock)	13,702
Machinery (Cost Rs 57,200)	45,760
Motor Vehicles (Cost Rs 48,000)	27,000
Bonds payable (repayable on December 31, 2018)	20,000

The following adjustments are required on June 30, 2015:

1. Allowance (provision) for doubtful debts should be maintained at 5% of trade receivables (accounts receivables).
2. He charges 20% depreciation on machinery using straight line method.
3. Motor vehicle is depreciated by 25% using diminishing balance method.

Prepare Statement of affairs for Mr Shahid as on June 30, 2015. (10 Marks)

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Q.13. (Total 10 Marks)

EITHER

a. Ms Ramsha and Ms Mohsina are partners in a boutique business with a capital of Rs 200,000 and Rs 100,000 respectively. They share profit and loss in the ratio of 2:1. They agreed to admit Ms Safina as a new partner.

Give the necessary general journal entries and the balance sheet for each of the following cases separately.

Case 1: Ms Safina invests Rs 100,000 cash for 1/4th interest.

Case 2: Ms Safina invests Rs 120,000 cash for 1/4th interest. Her capital is to be credited with the entire amount of her capital.

OR

b. Mr Rashid and Mr Moin were equal partners in a firm. The balance sheet of the business on June 30, 2016 was as under.

Assets	Amount (Rs)	Equity	Amount (Rs)
Cash	50,000	Trade payables (accounts payable)	80,000
Trade receivables (accounts receivable)	100,000	Notes payable	20,000
Merchandise inventory	50,000	Capital Rashid	200,000
Machine	200,000	Capital Moin	100,000
	400,000		**400,000**

The partners decided to dissolve the firm under the following agreement:

1. Cash Rs 80,000 was collected from accounts receivable for the full and final settlement.
2. Cash received by selling inventory and machine was Rs 40,000 and Rs 210,000 respectively.
3. Paid off all the liabilities in full.

Required:

i. Make necessary general journal entries for realisation (showing closing of realisation and distribution of gain/ loss on realisation).

ii. Prepare realisation account.

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S. No.	Particulars	P.R.	Debit	Credit

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S. No.	Particulars	P.R.	Debit	Credit

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